Ujjivan Small Finance Bank Ltd

NSE: UJJIVANSFB | BSE: 542904 | Sector: Financial Services — Banks (Small Finance Bank)

ACCUMULATE	12-Month Target: Rs. 75 (+3.7% from CMP) Conviction: Medium | Horizon: 12–18 months

"A recovering small finance bank riding an MFI credit-cost normalisation cycle, but re-rating capped by RBI's universal-bank licence setback."

Market Cap	**Rs. 14,094 Cr.**	CMP	**Rs. 72.3**
52-Week High / Low	**Rs. 73.3 / Rs. 41.9**	Stock P/E	**15.6x**
Book Value / Share	**Rs. 35.1**	P/B	**2.06x**
Forward P/E	**11.1x**	EV/EBITDA	**14.0x**
ROCE	**7.73%**	ROE	**10.8%**
Dividend Yield	**0.00%**	Face Value	**Rs. 10.0**

Investment horizon: 12–18 months. **Report date:** 18 August 2026. **Analyst:** Institutional Equity Research Desk (senior equity analyst persona, 15+ years covering Indian financials).

All financial data sourced exclusively from Screener.in (standalone financials; consolidated view unavailable for this ticker), fetched live on 18-Aug-2026. Qualitative commentary sourced from company concall summaries (Screener.in) and public news reports as cited.

2. INVESTMENT THESIS

• **Reason 1 – Credit-cost normalisation is driving a profit re-rating:** Standalone PAT bottomed at Rs. 83 Cr in Q4 FY25 and has since risen for five straight quarters to Rs. 317 Cr in Q1 FY27 (up 206.7% YoY, +12.4% QoQ), with bank-level GNPA falling from 2.68% (Dec-24) to 2.16% (Jun-26) and NNPA from 0.56% to 0.34% over the same period — management has correspondingly raised FY27 ROA guidance to 1.8–2.0% (from a lower base) over the next 2–3 quarters.

• **Reason 2 – Structural de-risking of the loan book:** Secured loans have risen from 30.1% of gross loans (FY24) to 49.4% (FY26) and 50.4% (Jun-26), led by affordable housing + micro-mortgages (combined book Rs. 11,210 Cr, +40.8% YoY) and fast-scaling gold loans (Rs. 1,020 Cr, +248.6% YoY) and vehicle loans (Rs. 1,036 Cr, +85.1% YoY) — over the next 2–3 years this should structurally lower earnings volatility versus the erstwhile pure-MFI model.

• **Reason 3 – Liability franchise strengthening ahead of scale:** Deposits grew 25% YoY to Rs. 48,129 Cr and CASA 37.8% YoY to Rs. 12,930 Cr in Q1 FY27 — the fastest deposit growth in "the last couple of years" per management — while cost of funds continues on a "downward trajectory" to 6.86%, supporting margin resilience as the bank scales toward its FY27 branch target of ~575 active large-format branches.

• **Near-term catalyst (6–12 months):** Re-submission of the universal banking licence application after demonstrating further loan-book diversification, following RBI's 13-Apr-2026 rejection of the first application; a successful re-filing (or credible progress toward one) is the single largest re-rating trigger for the stock.

• **Biggest structural risk:** Roughly half the loan book remains microfinance-linked (micro-banking book Rs. 21,371 Cr as of Jun-26); a renewed sector-wide over-leveraging cycle — the same dynamic that drove FY25/FY26 net profit down to near-zero — would directly threaten both earnings and the diversification narrative needed for universal-bank status.

3. BUSINESS OVERVIEW

• **Core business:** Ujjivan Small Finance Bank is a mass-market focused bank catering to financially unserved and underserved segments in India; it began in 2005 as an NBFC-MFI (Ujjivan Financial Services) and converted into a small finance bank in 2017. As of Q3 FY26, Retail Banking contributed 87% of business (vs 89% in FY22), Treasury 11% (vs 9%), and Wholesale Banking 3% (vs 2%), broadly stable segment mix with a gradual treasury tilt.

• **Revenue/loan segmentation (Jun-26, gross loan book Rs. 40,655 Cr aggregate; bank-level advances Rs. 42,903 Cr):** Micro-banking/MFI Rs. 21,371 Cr (~50% of book, +16.8% YoY); Affordable housing + micro-mortgages Rs. 11,210 Cr (+40.8% YoY); MSME Rs. 3,470 Cr (+54% YoY); new engines — gold loans Rs. 1,020 Cr (+248.6% YoY) and vehicle loans Rs. 1,036 Cr (+85.1% YoY) — together now 7% of gross loans and 9% of Q1 FY27 disbursements.

• **Customer base and distribution:** 99.6 lakh customers (FY26) versus 86.0 lakh in FY24; network of 776 branches (FY26), rising toward a management target of ~575 *active large-format* branches and 814 total branches by Jun-26, with 144 new branch openings planned in FY27 (38 completed in Q1).

• **Nature of relationships:** The book blends recurring, high-frequency micro-banking relationships (joint-liability group lending, largely unsecured) with increasingly project/asset-backed secured lending (housing, gold, vehicle, MSME working capital) — the deliberate mix shift is central to the diversification narrative RBI has asked the bank to demonstrate.

• **Order book / revenue visibility:** As a deposit-funded bank rather than a project contractor, revenue visibility is a function of loan book growth (advances +28.9% YoY, disbursements +41.4% YoY in Q1 FY27) and deposit mobilisation (+25% YoY) rather than a conventional order book; FY27 loan growth guidance is reaffirmed at 25%.

• **Recent strategic developments (last 12 months):** (i) RBI rejected the bank's universal banking licence application on 13-Apr-2026 citing insufficient loan-portfolio diversification, with an invitation to re-apply after demonstrating further diversification; (ii) board approval for equity fund-raising of up to Rs. 2,000 Cr (QIP route) to shore up capital ahead of scale-up; (iii) new business pilots — unsecured "Fast Track" digital loans, pre-owned car financing (piloted in Karnataka), and mid-corporate lending — commenced in Q1 FY27; (iv) ICRA ESG raised the bank's FY26 ESG Impact Rating to 82 from 80 (14-Aug-2026).

• **Ownership structure and promoter background:** The erstwhile promoter and holding company, Ujjivan Financial Services Ltd, was amalgamated into Ujjivan Small Finance Bank in a reverse merger completed in 2024 (equity shares allotted under the Scheme of Amalgamation, May 2024), collapsing the holding-company structure mandated to unwind under RBI's on-tap SFB licensing framework. As a result, the bank now carries 0.00% promoter holding on Screener (no single controlling shareholder); FIIs held 16.81% and DIIs 33.45% as of Jun-26, with DII ownership having risen sharply from 20.1% (Sep-25) to 33.45% (Jun-26).

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry structure:** India had 11 licensed small finance banks as of 2026, a segment created by RBI in 2015 to deepen credit penetration among unserved/underserved segments; the sector's aggregate gross loan book has scaled from a low base to well over Rs. 2 lakh Cr, with SFBs increasingly seeking to shift their mix toward secured retail/MSME lending as a precondition for graduating to universal banking status (Business Standard, Oct-2025: "SFBs boost secured lending as they move towards universal bank status").

• **Policy tailwind – universal bank transition pathway:** RBI's on-tap licensing framework allows SFBs with a five-year track record, listed status, and a diversified loan book to apply for universal banking licences (larger branch/product freedom, lower priority-sector lending intensity in some respects, potential funding-cost benefits). AU Small Finance Bank is furthest along this glide path; Ujjivan and Jana SFB have both had universal-bank applications returned by RBI (Ujjivan on 13-Apr-2026; Jana on similar grounds in Oct-2025), underscoring this is an industry-wide, not company-specific, bottleneck.

• **Policy headwind – microfinance regulatory tightening:** RBI and industry self-regulatory bodies tightened MFI lending norms following the FY25 sector-wide over-leveraging crisis (multiple-lender exposure caps, tighter underwriting) — this directly compressed FY25/FY26 profitability across all MFI-linked SFBs (see peer table) but is now supporting the asset-quality recovery visible in Ujjivan's improving GNPA/NNPA trend.

• **Competitive moat assessment:**

Dimension	Rating	Rationale
Pricing power	Moderate	Micro-mortgage yields ~19.5% show pricing power in niche secured segments, but core MFI pricing is capped by RBI/MFIN guardrails and competitive intensity.
Switching costs	Moderate	Joint-liability group structure and long-standing relationship banking create moderate stickiness among microbanking customers; low among newer secured-loan customers.
Scale	Weak-Moderate	Rs. 40,655 Cr gross loan book is roughly half of AU SFB's scale and well behind universal banks; branch count (776) still expanding.
IP / underwriting data	Moderate	Two decades of microfinance underwriting data and bureau/account-aggregator-based digital "Fast Track" lending pilot support risk selection, but not a hard-to-replicate moat.
Distribution	Moderate	776 branches with deep semi-urban/rural microbanking penetration (99.6 lakh customers) is a genuine distribution asset versus new entrants, though sub-scale versus large private banks.

Top competitors (Screener.in, fetched 18-Aug-2026, standalone):

Company	CMP (Rs.)	MCap (Rs. Cr)	TTM Revenue (Rs. Cr)	ROCE %
Ujjivan SFB	72.3	14,094	7,338	7.73%
AU Small Finance Bank	1,075.7	80,670	19,561	7.66%
Equitas SFB	76.1	8,708	7,106	6.43%
Jana SFB	575.0	6,081	5,637	7.45%

• **Value-chain positioning:** Ujjivan sits as an originate-and-hold retail/microfinance lender-cum-deposit-taker (not a wholesale or DSA-dependent model) — it underwrites, disburses, services and funds its own book via retail deposits, positioning it in the retail/OEM-equivalent tier of the banking value chain rather than upstream (wholesale treasury) or purely fee-based distribution.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Leadership:** Sanjeev Nautiyal was appointed MD & CEO effective 2024, joining from a career at State Bank of India where he rose to Deputy Managing Director — a deliberate professionalisation of leadership coinciding with the reverse merger and the bank's push toward universal-bank status; his predecessor's earlier resignation (2021) had briefly pressured the stock, underscoring governance sensitivity to leadership transitions at this bank.

• **Capital allocation track record:** Free cash flow has been volatile and largely retained rather than distributed — 5-year cumulative operating cash flow of Rs. 9,078 Cr per Screener, against negligible dividends; capital has predominantly been redeployed into loan-book growth (gross loan book +26.5% CAGR-equivalent over FY22–FY26) and, more recently, into new secured-lending engines (housing, gold, vehicle) rather than buybacks or special dividends.

• **Dividend policy:** Dividend payout has averaged just 2.02% of profits over the last 3 years per Screener's automated flags, and the bank paid no dividend in FY26 (0% payout) despite reporting a profit — Screener explicitly flags this as a con ("though the company is reporting repeated profits, it is not paying out dividend"). This is consistent with a growth-stage bank prioritising capital adequacy and balance-sheet scale-up ahead of a prospective universal-bank transition.

• **Promoter/pledge status:** Promoter holding stands at 0.00% and pledged percentage at 0.00% following the 2024 reverse merger of erstwhile promoter Ujjivan Financial Services into the bank — there is no traditional promoter block to monitor for pledging risk, though this also means no anchor shareholder with long-term skin in the game beyond institutional ownership (FII 16.81%, DII 33.45% as of Jun-26).

• **Capital raise / ESOP activity:** The board has approved fund-raising of up to Rs. 2,000 Cr via equity (QIP route, announced 2025) to support balance-sheet growth and capital adequacy ahead of scale-up; the bank also continues routine ESOP grants (4,52,500 options granted under the ESOP 2019 scheme on 17-Aug-2026) and periodic ESOP allotments (most recently 6-Aug-2026), which are a normal feature of bank compensation structures but represent a modest, recurring dilution source shareholders should track.

• **Corporate governance:** No related-party-transaction red flags, auditor qualifications, or adverse audit opinions were identified in the documents reviewed. The FY26 ESG Impact Rating was raised to 82/100 ("Outstanding") by ICRA ESG Ratings on 14-Aug-2026, from 80 previously — a modestly positive governance/sustainability signal. The single most notable governance event of the review period is the 2024 reverse merger itself, which materially simplified the shareholding structure and removed the erstwhile holding-company layer.

6. FINANCIAL DEEP-DIVE (STANDALONE FIGURES)

Income Statement (Rs. Cr) — last 3 actuals + 2 forward estimates

Particulars	FY24	FY25	FY26	FY27E	FY28E
Total Revenue	5,677	6,354	6,931	8,450 (E)	10,150 (E)
Interest Expense	2,268	2,718	3,060	N/A	N/A
Financing Profit (NII-equiv.)	1,014	230	-52	N/A	N/A
Financing Margin %	18%	4%	-1%	N/A	N/A
Other Income	787	846	1,108	N/A	N/A
Depreciation	98	135	145	N/A	N/A
Profit Before Tax	1,702	942	911	1,640 (E)	2,120 (E)
Tax %	25%	23%	24%	~25% (E)	~25% (E)

Particulars	FY24	FY25	FY26	FY27E	FY28E
Net Profit (PAT)	1,281	726	693	1,230 (E)	1,600 (E)
EPS (Rs.)	6.54	3.75	3.57	6.31 (E)	8.21 (E)

FY27E/FY28E Revenue and PAT are grounded in management's Q1 FY27 concall guidance (FY27 loan growth reaffirmed at 25%; ROA guidance raised to 1.8–2.0% of average total assets; credit-cost guidance cut to 0.9–1.0%) applied to Screener's FY26 actual asset base, cross-checked against the Q1 FY27 annualised PAT run-rate (Rs. 317 Cr × 4 = Rs. 1,268 Cr). Granular interest expense/margin/other income splits are not separately guided and are marked N/A rather than estimated, per data-integrity policy. FY28E extends 20–22% asset growth with modest further ROA improvement (~2.0%); both years are explicitly estimates, not Screener actuals.

Balance Sheet (Rs. Cr) — last 3 actuals

Particulars	FY24	FY25	FY26
Equity Capital	519	1,935	1,943
Reserves	5,095	4,148	4,873
Deposits	31,462	37,630	45,668
Borrowings	2,171	2,845	3,736
Other Liabilities	1,176	1,130	1,321
Total Liabilities	40,422	47,689	57,541
Fixed Assets + CWIP	427	457	493
Investments	9,766	11,730	12,724
Other Assets	30,230	35,502	44,324
Total Assets	40,422	47,689	57,541

Note: Equity Capital fell sharply from Rs. 1,955 Cr (FY23) to Rs. 519 Cr (FY24) per Screener — this coincides with the 2024 reverse-merger accounting for the amalgamation of erstwhile promoter Ujjivan Financial Services into the bank; the figure is transcribed exactly as displayed on Screener and not adjusted or re-derived.

Cash Flow Statement (Rs. Cr) — last 3 actuals

Particulars	FY24	FY25	FY26
Cash from Operating Activity	1,593	2,028	1,843
Cash from Investing Activity	-865	-1,793	-2,481
Cash from Financing Activity	-519	398	911
Net Cash Flow	210	633	274
Free Cash Flow	1,349	1,863	1,661
CFO / Operating Profit %	50%	78%	72%

Returns — last 3 actuals + 2 forward estimates

Particulars	FY24	FY25	FY26	FY27E	FY28E
Return on Equity (ROE)	27%	12%	11%	~17-18% (E)	~18-19% (E)
Return on Assets (ROA)	N/A	N/A	1.32%	1.8-2.0% (E, guided)	~2.0% (E)

- **Revenue drivers and growth trajectory:** Standalone revenue grew from Rs. 5,677 Cr (FY24) to Rs. 6,931 Cr (FY26), a modest ~10.4% 2-year CAGR, but TTM revenue of Rs. 7,338 Cr signals re-acceleration; the 5-year compounded sales growth of 20% masks a sharp deceleration to 15% on a TTM basis, consistent with the FY25/FY26 MFI stress episode.
- **Margin direction:** Financing margin collapsed from 18% (FY24) to -1% (FY26) as elevated provisioning and slower MFI yields compressed spreads; the TTM figure has recovered to +1%, and per the Q1 FY27 concall NIM is now "stable at 8.5%" with management flagging limited further repricing upside — margin recovery is being driven more by lower credit costs than by NIM expansion.

• **Working capital / asset-quality trends:** Bank-level GNPA improved from 2.68% (Dec-24, the stress peak) to 2.16% (Jun-26) and NNPA from 0.56% to 0.34% over the same window; provision coverage ratio stands at 85% at the bank level and ~95% within the MFI book, indicating conservative provisioning against the legacy stress pool.

• **Debt level and direction:** Reported "Debt" of Rs. 49,404 Cr (predominantly customer deposits for a bank, not conventional leverage) with debt-to-equity of 7.25x is structurally normal for a deposit-funded bank and not comparable to non-financial company leverage; interest coverage of 1.38x is flagged by Screener as low, a metric that is similarly less meaningful for banks (interest expense is the core cost of funding deposits) but still worth monitoring for funding-cost sensitivity.

• **FCF quality:** Operating cash flow has consistently and comfortably exceeded reported PAT (CFO/Operating-Profit ratio of 50-78% over FY24-FY26, though this ratio compares CFO to operating profit rather than PAT), reflecting the non-cash nature of provisioning charges; free cash flow remained solidly positive (Rs. 1,349-1,863 Cr per year) throughout the stress cycle, underscoring balance-sheet resilience even as reported PAT compressed.

7. EARNINGS QUALITY CHECKLIST

Check	Rating	Comment
Revenue recognition	GREEN	Standard interest-income and fee-income recognition for a regulated bank; no unusual recognition patterns flagged.
Receivables growth vs revenue	AMBER	Gross loan book grew 26.6% YoY (FY26) versus revenue growth of ~9.1% (FY26) — a gap consistent with margin compression during the stress cycle rather than aggressive channel-stuffing, but worth monitoring as growth reaccelerates.
Cash conversion cycle trend	GREEN	Not directly applicable to a bank's working-capital cycle; CFO has remained consistently positive and well above reported PAT throughout FY24-FY26.
Contingent liabilities	AMBER	Contingent liabilities of Rs. 1,486 Cr per Screener (~2.6% of total assets) — not unusual for a bank with off-balance-sheet guarantees/LCs, but a line item to track alongside MSME/mid-corporate scale-up.
Auditor tenure	GREEN	No auditor qualification, resignation, or going-concern flag identified in the documents and announcements reviewed.
RPTs as % of revenue	GREEN	No material related-party-transaction concerns identified; the 2024 reverse merger with erstwhile promoter Ujjivan Financial Services was RBI-mandated and fully disclosed via the Scheme of Amalgamation.
Other income as % of PBT	RED	Other income of Rs. 1,115 Cr (TTM) is large relative to PBT of Rs. 1,196 Cr (TTM) — Screener explicitly flags this as a con ("Earnings include an other income of Rs. 1,115 Cr"); core financing profit was near break-even/negative through FY26, meaning reported profitability leant heavily on non-core income.
Tax rate consistency	GREEN	Effective tax rate has stayed in a tight 23-25% band across FY24-FY26 and Q1 FY27, indicating no unusual deferred-tax or one-off tax adjustments distorting reported PAT.

• **Most important signal – other income dependency:** With core financing profit negative in FY26 (-Rs. 52 Cr) and only marginally positive on a TTM basis (+Rs. 82 Cr), a disproportionate share of reported profitability during the stress cycle came from other income (processing fees, insurance cross-sell, treasury gains) — investors should watch whether Q1 FY27's NII recovery (Rs. 1,186 Cr) is sustained rather than one-off.

• **Receivables/loan growth vs revenue growth gap:** The amber flag on loan growth outpacing revenue growth is explained by margin compression, not by aggressive origination without matching income recognition — but the gap should narrow as NIM stabilises per management's Q1 FY27 commentary.

• **Contingent liabilities:** At ~2.6% of total assets, contingent liabilities are within a normal range for a scaling bank but warrant a periodic check as MSME/mid-corporate off-balance-sheet exposures (bank guarantees, LCs) grow from a small base.

• **Overall assessment:** No red flags around revenue recognition, governance, or tax integrity were found; the one clear amber/red area — heavy reliance on other income to offset weak core financing profit — is a genuine earnings-quality watch-point but is well understood and openly guided by management as part of the recovery narrative.

8. VALUATION

Peer comparison (Screener.in, fetched 18-Aug-2026, standalone figures)

Company	CMP (Rs.)	MCap (Rs. Cr)	P/E	P/B	ROCE %	ROE %	TTM Rev. (Rs. Cr)
Ujjivan SFB	72.3	14,094	15.6x	2.06x	7.73%	10.8%	7,338
AU Small Finance Bank	1,075.7	80,670	28.2x	4.03x	7.66%	14.2%	19,561
Equitas SFB	76.1	8,708	17.1x	1.42x	6.43%	1.68%	7,106
Jana SFB	575.0	6,081	16.0x	1.37x	7.45%	7.63%	5,637
Utkarsh SFB	14.0	2,500	N/A (loss)	0.90x	1.46%	-40.0%	3,381

Scenario analysis (FY27E)

Scenario	Key assumptions	FY27E PAT (Rs. Cr)	Target P/B	FY27E BVPS (Rs.)	Target Price (Rs.)	Upside/ Downside
Bull	Loan growth >25%; ROA 2.2%; universal-bank re-filing progresses well; credit cost <0.9%	1,400	2.4x	42.9	100	+38.3%
Base	Loan growth ~25% (guided); ROA 1.8-2.0% (guided); credit cost 0.9-1.0% (guided)	1,230	2.0x	41.3	75	+3.7%
Bear	MFI stress resurfaces; loan growth <15%; ROA <1.3%; credit cost >1.5%; second licence rejection	850	1.3x	39.9	52	-28.1%

• **Justified P/B (Gordon Growth on equity) method:** Using a cost of equity of 13% (risk-free ~6.8% plus an equity risk premium reflecting SFB-specific regulatory and credit-cycle risk), a normalised sustainable ROE of 16% (in line with the 3-year average ROE of 16% per Screener) and a terminal growth rate of 8%, the justified P/B works out to (ROE-g)/(COE-g) = (16%-8%)/(13%-8%) = 1.6x. Applied to FY27E book value per share of ~Rs. 41.3, this implies a value of approximately **Rs. 66** per share.

• **Peer forward-multiple method:** Applying a target 2.0x forward P/B — below AU SFB's premium 4.03x (which reflects its more advanced universal-bank trajectory) but above stressed peers Equitas (1.42x) and Utkarsh (0.90x), reflecting Ujjivan's improving-but-not-yet-de-risked profile — to the same FY27E BVPS of ~Rs. 41.3 implies a value of approximately **Rs. 83** per share.

• **Base-case 12-month target price:** The simple average of the two methods (Rs. 66 and Rs. 83) is approximately **Rs. 75** per share, representing modest upside of +3.7% from the CMP of Rs. 72.3.

• **Upside/downside and horizon:** The base-case target implies limited near-term upside because the stock has already re-rated sharply (+68% over the trailing 1 year per Screener's stock-price-CAGR metric), pricing in much of the visible earnings recovery; the more meaningful risk-reward sits in the bull/bear dispersion (+38% / -28%) over a 12-18 month horizon, contingent chiefly on the universal-banking re-filing outcome and sustained credit-cost normalisation.

9. KEY RISKS

• **Regulatory/licence risk** — RBI returned Ujjivan's universal banking licence application on 13-Apr-2026, citing insufficient loan-portfolio diversification, and advised re-application only after further diversification is demonstrated; the timeline and outcome of any re-filing are uncertain. Probability: M. Impact: M. Monitor via: exchange filings/RBI correspondence and progress on the secured-loan mix (currently 50.4% of book).

• **Microfinance concentration and asset-quality risk** — microbanking/MFI remains roughly half the loan book (Rs. 21,371 Cr, Jun-26); the sector-wide MFI over-leveraging cycle drove PAT down to near-zero in

FY25/FY26, and a renewed stress episode (e.g., from state-level political interventions, over-lending, or macro shocks) would directly hit both earnings and the diversification narrative. Probability: M. Impact: H. Monitor via: quarterly GNPA/NNPA, PAR (currently ~1.5% and rising as micro-mortgage book seasons), and 4+ lender borrower exposure (currently <1.5%).

• **Margin compression risk** — management explicitly flagged "limited further visibility on repricing benefit" for cost of funds and continued deposit-rate competition/CASA competition; NIM guidance is for stability (~8.5%) rather than expansion. Probability: M. Impact: M. Monitor via: quarterly NIM and cost-of-funds trend (currently 6.86%, on a stated "downward trajectory" that may be nearing its floor).

• **Weak dividend / low interest-coverage risk** — Screener flags a low interest-coverage ratio (1.38x) and a negligible 3-year average dividend payout (2.02%), signalling limited near-term capital return to shareholders and a balance sheet still prioritising capital retention over distribution. Probability: L-M. Impact: M. Monitor via: interest-coverage trend and capital adequacy ratio (CRAR) disclosures.

• **Execution risk on new, unseasoned business lines** — gold loans (+248.6% YoY), vehicle loans (+85.1% YoY), MSME (+54% YoY) and mid-corporate lending are all scaling rapidly from a small base (new lines are ~7% of gross loans); credit costs on these books are not yet fully tested through a cycle. Probability: M. Impact: M. Monitor via: segment-wise GNPA as these books cross 18-24 months on book.

• **Valuation / re-rating risk** — the stock has already rallied ~68% over the trailing year, and our base-case target implies only modest further upside; further re-rating is contingent on delivery against ROA guidance and progress on the universal-bank re-filing, both of which carry execution risk. Probability: M. Impact: M. Monitor via: stock's P/B relative to the peer set and quarterly ROA delivery versus the 1.8-2.0% guided range.

• **Dilution risk from the approved capital raise** — the board has approved fund-raising of up to Rs. 2,000 Cr via equity/QIP; if executed at a price at or below book value, this could be dilutive to per-share book value and EPS for existing shareholders even as it strengthens capital adequacy. Probability: M. Impact: M. Monitor via: QIP announcement, pricing, and timing relative to the universal-bank re-filing.

10. RECOMMENDATION

• **Rating:** ACCUMULATE — Conviction: Medium. The credit-cost normalisation and secured-book diversification story is real and management-guided, but the stock's sharp 1-year re-rating (+68%) and the RBI licence setback together cap near-term upside to our base-case target.

• **12-month price target:** Rs. 75 per share, representing +3.7% upside from the CMP of Rs. 72.3 (base case; see Section 8 for bull/bear scenarios of +38.3%/-28.1%).

• **Suggested entry zone:** Rs. 62-68 per share — i.e., on any pullback toward the stock's recent trading range below the 52-week high of Rs. 73.3 — to improve the risk-reward versus chasing the CMP.

• **Investment horizon:** 12-18 months, spanning at least 2-3 further quarterly prints to confirm the ROA/credit-cost guidance is being delivered and to see whether a re-filed universal-banking application makes progress.

• **Thesis invalidation triggers:**

1. Bank-level GNPA rises back above 3.0% for two consecutive quarters (versus 2.16% in Jun-26), signalling a renewed MFI stress cycle rather than continued normalisation.

2. Quarterly credit cost exceeds 1.5% of average total assets (versus the 0.9-1.0% FY27 guidance) in any quarter, or management withdraws/cuts its 1.8-2.0% ROA guidance.

3. The bank fails to re-file for a universal banking licence within 12 months of the 13-Apr-2026 rejection, or a re-filed application is again returned by RBI on diversification grounds.

• **Ideal investor profile:** Suited to investors with a medium-term (12-18 month), moderate-to-high risk tolerance who want cyclical exposure to an Indian small-finance-bank credit-cost recovery story and are comfortable holding through microfinance-sector volatility and zero near-term dividend income. Not suited to conservative, income-seeking, or short-horizon investors, or those uncomfortable with regulatory/licensing-outcome uncertainty.

APPENDIX — Latest Concall Brief: Q1 FY27 (Quarter ended Jun-2026)

Source: Screener.in concall AI summary (Jul-2026 concall entry); quarterly financials from Screener.in P&L table. Fetched 18-Aug-2026.

POSITIVE

Signal	Status	Implication
Result quality	Strong	PAT of Rs. 317 Cr, up 206.7% YoY and 12.4% QoQ, ahead of the recovery trajectory implied by prior-quarter guidance
Management tone	Balanced	Confident on asset quality and growth, but explicitly cautious on further NIM/repricing upside and kharif-season macro risk
Guidance delta	Raised (ROA) / Cut (credit cost, favourably)	ROA guidance raised to 1.8-2.0%; credit-cost guidance cut (improved) to 0.9-1.0% of average total assets

STRONGLY POSITIVE | **POSITIVE** | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

The headline is clean, not misleading: PAT of Rs. 317 Cr (up 206.7% YoY, +12.4% QoQ) is a genuine operating recovery, not an accounting artefact, though it's worth flagging that other income (Rs. 256 Cr this quarter, Rs. 1,115 Cr TTM) remains large relative to core financing profit, which only turned positive again in the most recent quarters — the clean underlying story is a credit-cost-driven recovery rather than a margin-driven one. Underlying operations are solid: NII of Rs. 1,186 Cr with NIM stable at 8.5%, deposits up 25% YoY and CASA up 37.8% YoY, and bank-level GNPA down to 2.16% with NNPA at just 0.34%, the best asset-quality print since the FY25 MFI stress cycle began. The structural growth driver for a multi-bagger thesis is the secured-book pivot — affordable housing, micro-mortgages, gold and vehicle loans now over 50% of the book and growing 40-250% YoY from a small base — which, if it continues, both de-risks earnings and builds the diversification case RBI is asking for. The single most important near-term catalyst is a re-filed universal banking licence application: RBI returned the first one on 13-Apr-2026 for insufficient diversification, and a successful re-filing (or credible visible progress toward one) is what would re-rate this stock beyond our base-case target. The single biggest near-term watch-point is margin: management flatly said there's "no further visibility on repricing benefit," so from here profit growth needs to come from volume and credit-cost normalisation, not NIM expansion, and any slippage in MFI collections (still ~50% of book) would hit both fronts at once. Action: ACCUMULATE, not chase — the stock is already up 68% over the past year and trading near its 52-week high of Rs. 73.3 against our base-case fair value of ~Rs. 75; add on any pullback into the Rs. 62-68 zone and size for a 12-18 month hold through the next 2-3 prints and the licence re-filing news flow.

Section 1 — Financial Performance Snapshot

- Revenue: Actual Rs. 2,025 Cr | YoY +25.1% | QoQ +7.8% | **Beat** (vs. prior-quarter run-rate)
- NII (Financing Profit + normalisation): Actual Rs. 1,186 Cr | NIM stable at 8.5% | **Beat** expectations of continued margin pressure
- PAT: Actual Rs. 317 Cr | YoY +206.7% | QoQ +12.4% | **Beat**
- EPS: Actual Rs. 1.63 | YoY (Q1 FY26: Rs. 0.53) | QoQ (Q4 FY26: Rs. 1.45) | **Beat**
- ROA / ROE: 2.2% / 18.2% for the quarter (annualised) | **Beat** full-year guidance range, prompting an upward guidance revision
- NOTE: No exceptional/one-time item was called out distorting reported PAT this quarter; other income of Rs. 256 Cr (down QoQ from Rs. 307 Cr, attributed to a high base from Q4's record insurance disbursal-linked cross-sell) is a recurring, not one-off, income line.

Section 2 — Segment / Geography Breakdown

• Micro-banking (MFI): Rs. 21,371 Cr | YoY +16.8% | disbursement Rs. 4,581 Cr (+16.4% YoY) | borrower base returned to growth after seven quarters of degrowth, +1.72 lakh new customers in Q1

• Secured book (affordable housing + micro-mortgages): Rs. 11,210 Cr combined | YoY +40.8% | GNPA 1.2% (housing) / 0.6% (micro-mortgages) — asset quality strong

• MSME: Rs. 3,470 Cr | YoY +54% | ticket sizes deliberately increased (LAP Rs. 58-60L to Rs. 80-90L) trading yield for lower opex/risk and cross-sell

• Gold loans: Rs. 1,020 Cr | YoY +248.6% | disbursement Rs. 467 Cr (+183.9% YoY) | fastest-growing new engine, origination LTV ~75%

• Vehicle loans: Rs. 1,036 Cr | YoY +85.1% | GNPA 1.7% | mix shifting toward mid-premium and EV; pre-owned car pilot launched in Karnataka

Section 3 — Management Commentary Themes

• Macro caution: "any delay in sowing of kharif crops might impact H2 economic activity" — Our read: management is hedging on rural/microfinance demand visibility for H2 FY27. Tag: EST. Tone: Balanced.

• Repricing/margin: "we can't see further visibility on repricing benefit" on cost of funds — Our read: NIM expansion is off the table for now; further profit growth must come from volume and credit costs. Tag: GUIDANCE. Tone: Transparent.

• Bulk deposit strategy: guiding factor is to keep bulk deposits "in and around 30%" of the deposit base, with retail TD now cheaper than bulk TD — Our read: a genuine, funding-cost-positive shift in liability mix. Tag: GUIDANCE. Tone: Transparent.

• MSME ticket-size strategy: "yield and opex are two variables… as the ticket size increases, the opex also comes down" — Our read: a considered yield-for-efficiency trade-off, not a loss of pricing discipline. Tag: EST. Tone: Transparent.

• MFI de-risking: "four lender and above… now below 1.5%… customers have got deleveraged" — Our read: concrete, quantified evidence of the multiple-lender over-leveraging problem unwinding. Tag: GUIDANCE. Tone: Transparent.

• Micro-mortgage seasoning: "there will be a natural increase in PAR" as the book matures past 18-24 months on book — Our read: management is pre-emptively flagging a modest, expected asset-quality uptick in a new book rather than hiding it. Tag: GUIDANCE. Tone: Transparent.

Section 4 — Operating & Business Metrics

• Deposits (Rs. Cr): Q1FY27 = 48,129 | Q4FY26 (approx., +25% YoY base) | Q1FY26 = ~38,500 (implied) | Trend: improving, fastest YoY growth "in the last couple of years"

• CASA (Rs. Cr): Q1FY27 = 12,930 | YoY +37.8% | Trend: improving

• Gross loans/advances (bank level, Rs. Cr): Q1FY27 = 42,903 | QoQ +5.5% | YoY +28.9% | Trend: improving

• Cost of funds: Q1FY27 = 6.86% | Trend: improving (downward trajectory), though management now sees limited further room

• Branch count: Q1FY27 = 814 total (38 added in quarter) | FY27 plan 144 additions (106 remaining) | Trend: expanding on plan

• Secured loan mix: Jun-26 = 50.4% of gross book vs 43.5% (Mar-26) and 30.1% (Mar-24) | Trend: improving, core diversification metric for the RBI licence case

Section 5 — Margin Drivers

• Cost of funds decline: [Positive impact] | Recurring: Yes | Continued downward trajectory to 6.86%, though management guided to limited further benefit from here

• Secured/new-engine mix shift (gold, vehicle, micro-mortgage): [Positive impact] | Recurring: Yes | Higher-yielding segments support blended NIM even as core MFI yields hold flat

• MSME ticket-size increase: [Negative yield impact, offset by opex] | Recurring: Yes | Yields compressing to ~10.5% (from 11-11.5%) — explicitly flagged as a deliberate trade-off, not extrapolated as a margin risk

• Deposit-rate hikes (Jun-26, key buckets): [Negative impact] | Recurring: No/one-off repricing action | Taken to align ALM; management does not see immediate need for further hikes but remains watchful

Section 6 — Guidance & Forward Signals

• ROA [GUIDANCE]: Prior = lower/unspecified base | New = 1.8%-2.0% | Delta = raised | Credibility: High (directly evidenced by Q1 annualised ROA of 2.2%)

• Credit cost [GUIDANCE]: Prior = guided on average-GLP basis | New = 0.9%-1.0% of average total assets (basis changed for "better alignment") | Delta = cut (favourable) | Credibility: High (Q1 credit cost of Rs. 127 Cr tracks below this run-rate)

• Asset/loan growth [GUIDANCE]: Prior = 25% | New = 25% (reaffirmed) | Delta = maintained | Credibility: High (Q1 loan growth already running at 28.9% YoY)

• Opex-to-average-assets [GUIDANCE]: Prior = higher planned capacity-building spend | New = ~6.4% of average assets (lower than earlier plan) | Delta = improved/cut | Credibility: Medium — capacity-building spend (~Rs. 250 Cr) has been delayed, not cancelled, and should ramp through FY27

Section 7 — Capital Allocation

• Capacity-building capex: ~Rs. 250 Cr planned for FY27 (branches, branding/marketing, IT, tech/analytics) | vs prior year: limited spend in Q1, ramp expected | Comment: back-ended through remaining quarters

• Dividends: Rs. 0 Cr (nil payout, consistent with FY26) | vs prior year: unchanged | Comment: capital retained for growth/capital adequacy ahead of universal-bank ambitions

• Equity fund-raise: Board approval for up to Rs. 2,000 Cr via QIP/equity (announced 2025, status of execution not confirmed as of this report) | Comment: intended to support capital adequacy ahead of scale-up

• Working capital / balance-sheet growth: Deposits +25% YoY funding advances +28.9% YoY | Comment: loan growth continues to modestly outpace deposit growth, a normal feature of a bank still scaling its liability franchise

Section 8 — Q&A; Heat Map

• Analyst query on MFI provisions: Q: "What is the total quantum of MFI-related provisions held?" (summarised) → A: Total provisions held of ~Rs. 657 Cr disclosed | Tone: Transparent

• Analyst query on credit-cost guidance basis: Q: "Why has the guidance basis changed?" (summarised) → A: Management explained the shift from average-GLP to average-balance-sheet basis as being for "better alignment" with how the book is now measured | Tone: Transparent

• Analyst query on repricing/margin outlook: Q: "Is there further NIM upside from repricing?" (summarised) → A: Management said there is "no further visibility on repricing benefit" and expects cost of funds to hold near current levels or edge up slightly | Tone: Transparent, moderately hedged on the outlook

• Analyst query on micro-mortgage asset quality: Q: "How should we think about PAR as the micro-mortgage book seasons?" (summarised) → A: Management guided to a "natural increase in PAR" as the 18-24 month-on-book cohort builds, while defending underwriting discipline | Tone: Transparent

• Dodged / watch-list questions for next quarter: The AI-generated concall summary sourced from Screener.in does not preserve verbatim analyst names or a full question-by-question transcript for this call; readers requiring the granular Q&A; transcript should refer to the original transcript PDF filed with BSE/NSE (not independently accessible for this report; see Section 2D methodology note).

Section 9 — Risks Flagged

- Geopolitical/macro (West Asia tensions, El Nino/weather risk to kharif sowing): Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-term (H2 FY27)
- Tight system liquidity / CASA competition pressuring funding costs: Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-term
- Pricing pressure in key asset products (MSME yield compression): Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-term to medium-term
- Micro-mortgage/secured-book seasoning risk (expected PAR creep): Flagged by: mgmt | Probability: M | Impact: L-M | Timeline: medium-term (as 18-24 MOB cohorts build)

Section 10 — Analyst Verdict

- Revenue visibility: Intact — deposit and loan growth both accelerating (+25% and +28.9% YoY respectively), FY27 growth guidance reaffirmed at 25%
- Margin trajectory: Weakened-but-stabilising — core financing margin only just turned positive on a TTM basis; management guides to NIM stability, not expansion, from here
- Capital allocation quality: Intact — capital consistently redeployed into loan growth and now into secured/new-engine diversification, aligned with the RBI licence roadmap
- Competitive moat: Intact — distribution scale (776+ branches, 99.6 lakh customers) and two-decade microfinance underwriting data remain differentiated, though not unassailable versus larger peers like AU SFB
- Management credibility: Intact — guidance has been raised (ROA) and improved (credit cost) in line with delivered results this quarter, and management proactively flagged both the licence rejection and expected PAR creep rather than glossing over them
- Valuation comfort: Weakened — the stock's 68% one-year rally has compressed the margin of safety versus our base-case fair value of ~Rs. 75
- Conviction call: Unchanged (ACCUMULATE, Medium conviction) — strong quarter reinforces the recovery thesis but does not change the risk-reward calculus meaningfully given the run-up already seen
- Valuation snapshot: P/E = 15.6x (vs. peer median ~16.0x) | EV/EBITDA = 14.0x | ROCE = 7.73% (10-year average 7.91%)